

INDEPENDENT CONSULTING CASE STUDY

Operating Model Transformation: Okta

Scaling for Profitable Growth

An independent assessment of how Okta can maintain operating efficiency as its workforce, enterprise customer base, and partner delivery model expand.

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Financial and operating data sourced from Okta, Inc.'s FY2026 Form 10-K (SEC EDGAR). This project is an independent analysis and is not affiliated with or endorsed by Okta, Inc.

Profitability improved though cost discipline, resumed growth will test it.

From FY2024 to FY2026, operating expenses fell from 97% to 72% of revenue and operating income improved from \$516M loss to a \$149M profit.

With headcount growing, a larger international workforce, and more services moving to partners, Okta now has to protect those gains while the organization continues to grow.

97% → 72%

Opex as % of revenue, FY24–FY26

-22.8% → 5.1%

Operating margin, FY24–FY26

+7.6%

Headcount growth resumed in FY26

33% → 44%

Share of employees international

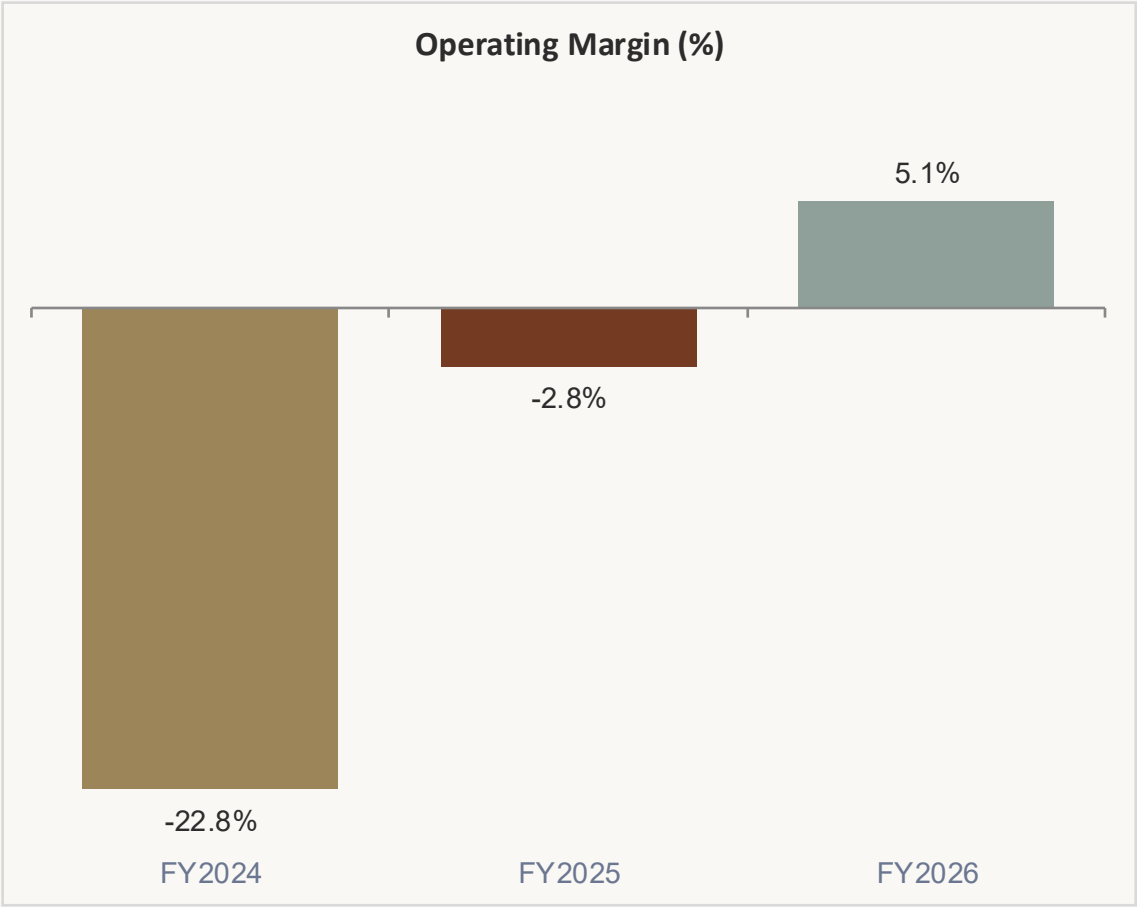
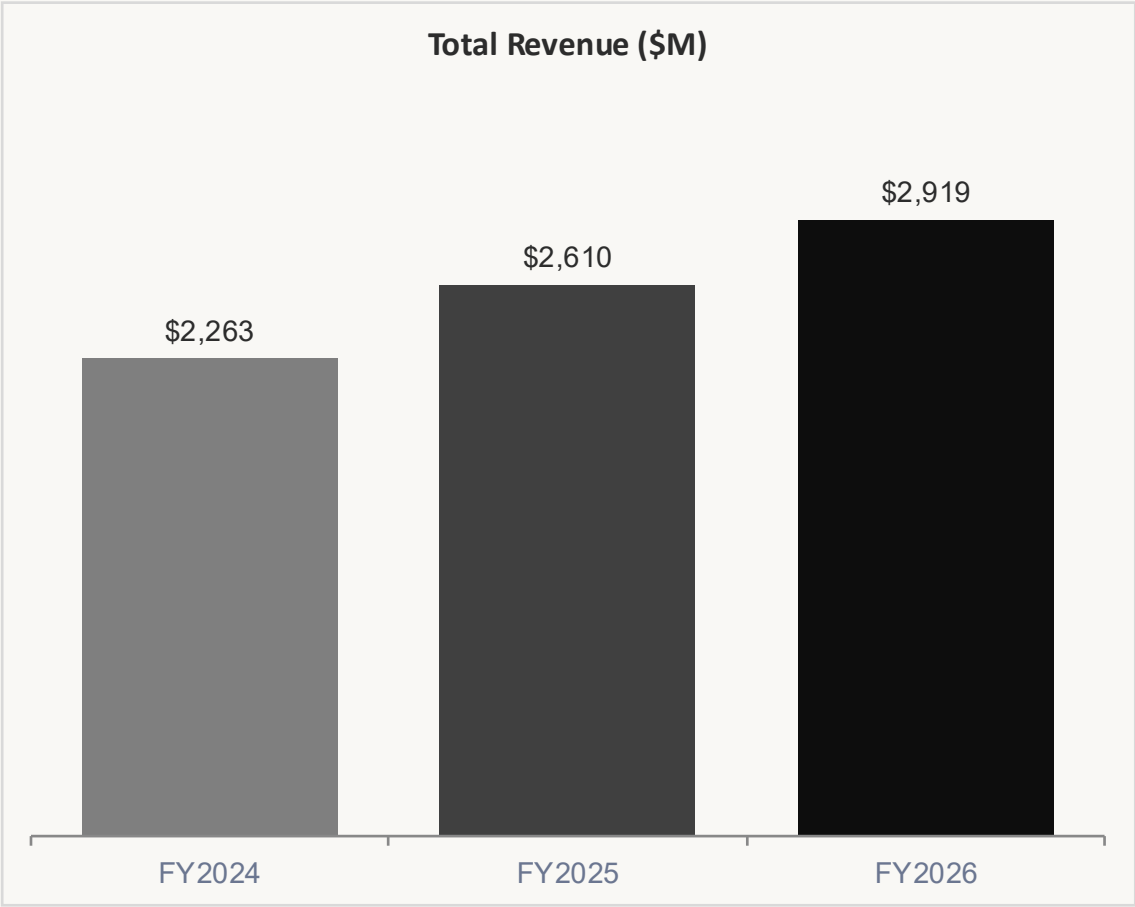
CASE OBJECTIVE:

Build an operating model — across People, Process, Governance, and Technology — capable of supporting its next phase of profitable growth.

Assess → Diagnose → Design → Implement

Profitability improves and revenue continues to grow

Operating expenses fell from 97.1% to 72.3% of revenue over the period, while gross margin expanded from 74.3% to 77.4% and Revenue-per-employee rose from \$0.38M to \$0.46M.



Growth is adding new coordination and delivery demands

01

Workforce growth has resumed

Employees grew from 5,914 to 6,366 in FY26 (+7.6%), after two years of near-flat headcount.

02

The organization is rapidly globalizing

International employees rose from 33% to 44% of the workforce between FY24 and FY26.

03

Enterprise customers are a growing share of the base

Customers with >\$100K ACV grew from 4,485 to 5,100, alongside 20,000+ total customers.

04

Delivery is shifting outside the organization

Okta expects professional-services revenue to decline as more engagements shift to partners beginning FY27.

Where growth is likely to create operating strain

People

Can the organization scale without proportional headcount growth?

Revenue per employee rose 20% over three years, but FY26 marks a return to headcount growth after two flat years — the model has not yet been tested at this pace.

Process

Do cross-functional handoffs keep pace with go-to-market changes?

Okta further specialized its sales organization by buying center (IT/security vs. developer) in February 2025 — a recent structural change that has not yet been stress-tested at scale.

Governance

Are decision rights and accountability clear as the org globalizes?

International headcount grew from 33% to 44% of the workforce, increasing the number of geographies decision rights must now span.

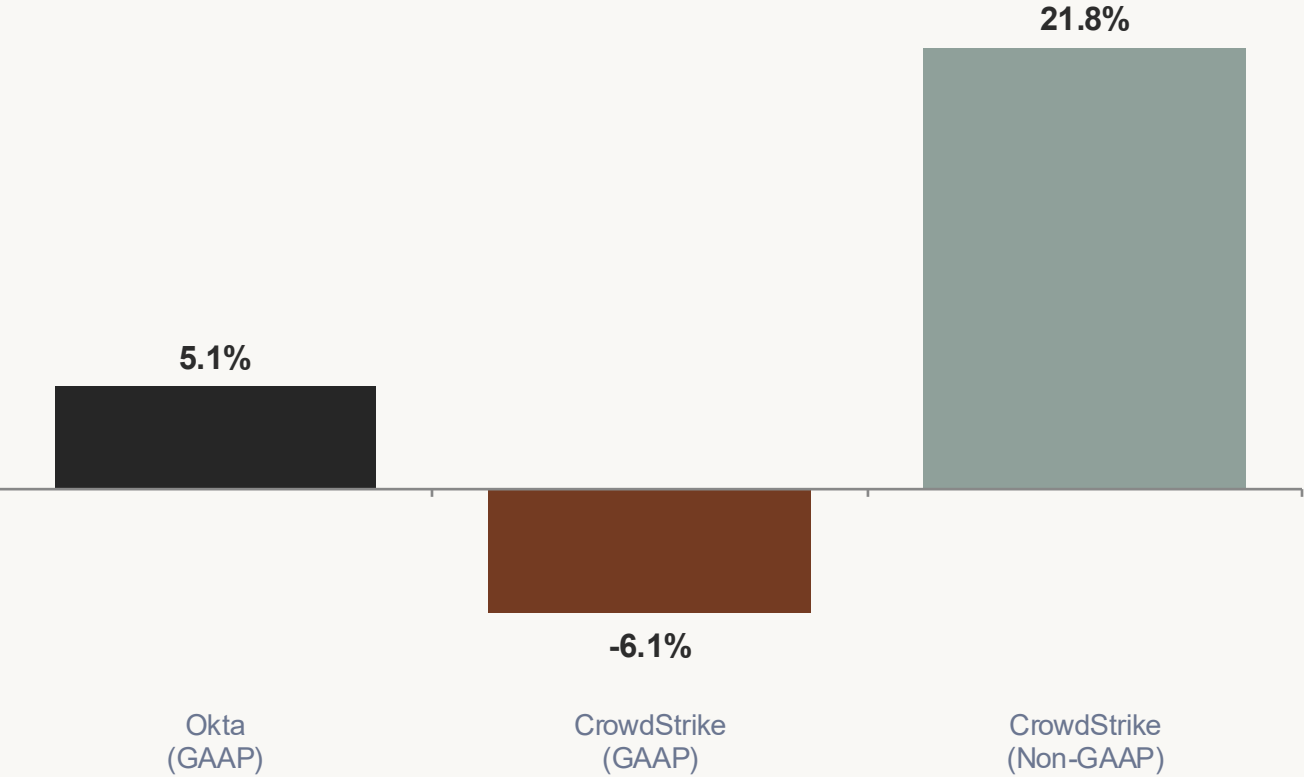
Technology & Information

Is delivery visibility keeping pace with the shift to partners?

Professional-services revenue is expected to decline as engagements move to partners starting FY27, shifting delivery outside Okta's direct visibility.

Okta is profitable on a GAAP basis, while pees remain mixed.

FY2026 Operating Margin: Okta vs. CrowdStrike

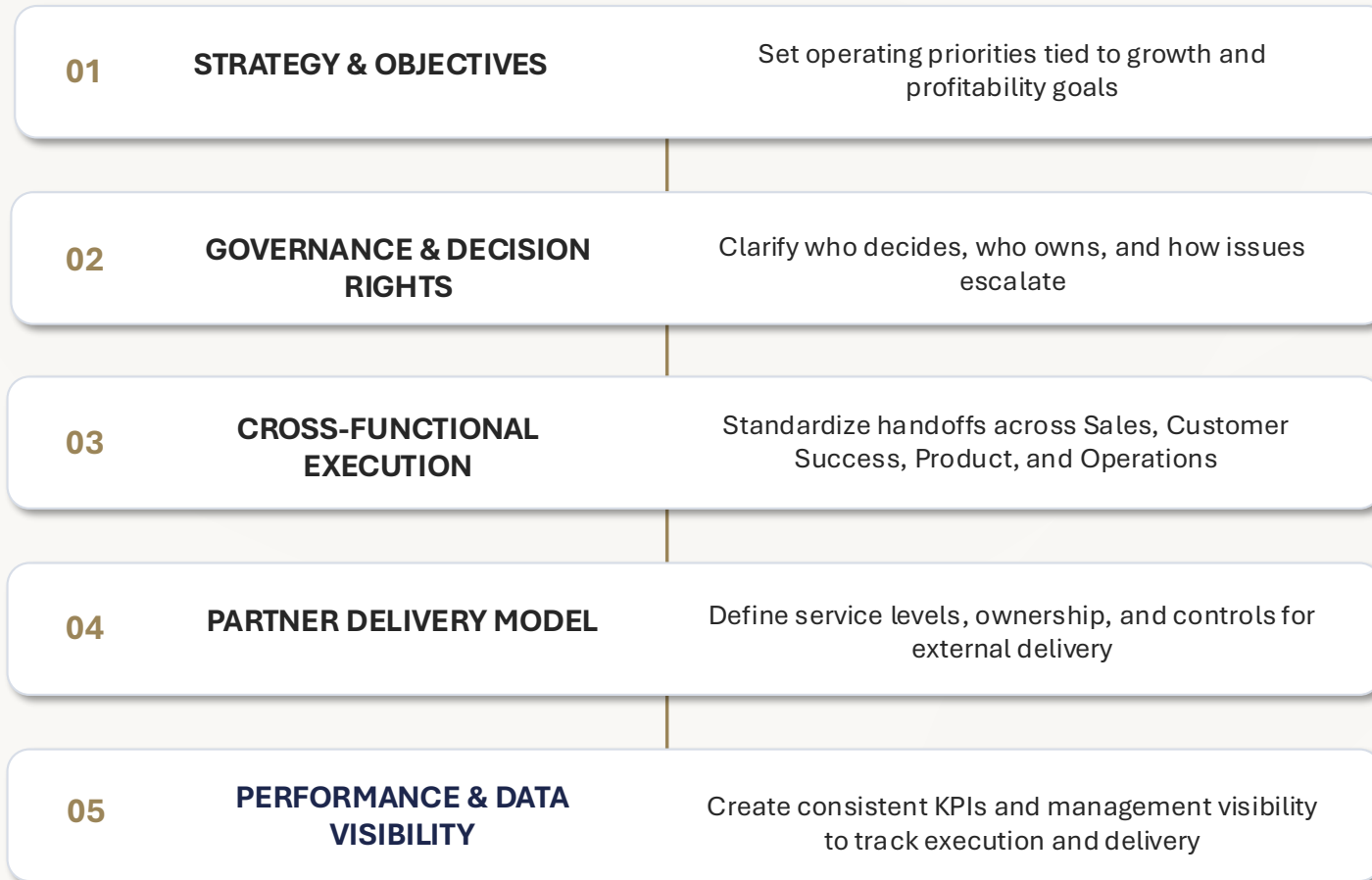


The comparison

CrowdStrike, Okta's closest scaled comp, grew revenue 22% to \$4.81B in FY2026 but posted a GAAP operating loss. Its 21.8% non-GAAP operating margin excludes items including stock-based compensation.

Okta reported a 5.1% GAAP operating margin. The comparison suggests that further gains should be carefully evaluated rather than assumed from the 72.3% operating expense ratio alone..

A scalable operating model connects ownership, execution, and delivery visibility



Illustrative target state based on the case diagnosis; not presented as Okta's current internal operating model.

DESIGN PRINCIPLES

PEOPLE:

Roles and accountability scale with growth

PROCESS:

Critical handoffs are repeatable and measurable

GOVERNANCE:

Decision rights remain clear across geographies

TECHNOLOGY & INFORMATION:

Leaders retain visibility as delivery shifts to partners

01

Simplify Governance

Set clear ownership and escalation paths as the organization globalizes

Focus Areas

- Define clear decision ownership for enterprise deal approval and cross-border escalations
- Reduce unnecessary approval complexity across an increasingly international footprint
- Use common governance standards and performance measures across.

Why It Matters — 10-K Evidence

International employees grew from 33% to 44% of the workforce in three years. More geographic coverage increases the need for clear decision ownership

02

Strengthen Cross-Functional Execution

Reduce gaps between teams serving enterprise and multi-product accounts

Focus Areas

- Assign ownership for accounts that span Okta buying centers
- Define handoffs created by the February 2025 sales specialization
- Track shared measures for account execution, issue resolution, and retention.

Why It Matters — 10-K Evidence

Okta specialized its sale organization by buying centers in February 2025. Multi-product accounts now require coordination across additional teams and ownership points..

03

Scale Through the Partner Delivery

Set ownership, service expectations, and reporting for work delivered by partners

Focus Areas

- Define ownership and service-level expectations for partner-delivered work.
- Track partner performance, implementation timing, and customer outcomes.
- Create reporting for partner engagements as direct delivery declines.

Why It Matters — 10-K Evidence

Okta identifies the availability of qualified implementation partners as a risk. That risk becomes more important as professional-services work shifts to partners beginning in FY2027.

Set consistent KPI's to track transformation

01

SIMPLIFY GOVERNANCE

Potential KPIs

- Decision Cycle Time
- Escalation Resolution Time
- % Critical decisions with a defined owner
- Approval layers per critical process

Baseline during Assess; set targets after internal validation.

02

CROSS-FUNCTIONAL EXECUTION

Potential KPIs

- Critical handoff cycle time
- Cross-functional SLA attainment
- Enterprise account issue-resolution time
- Retention/expansion indicators

Baseline during Assess; set targets after internal validation.

03

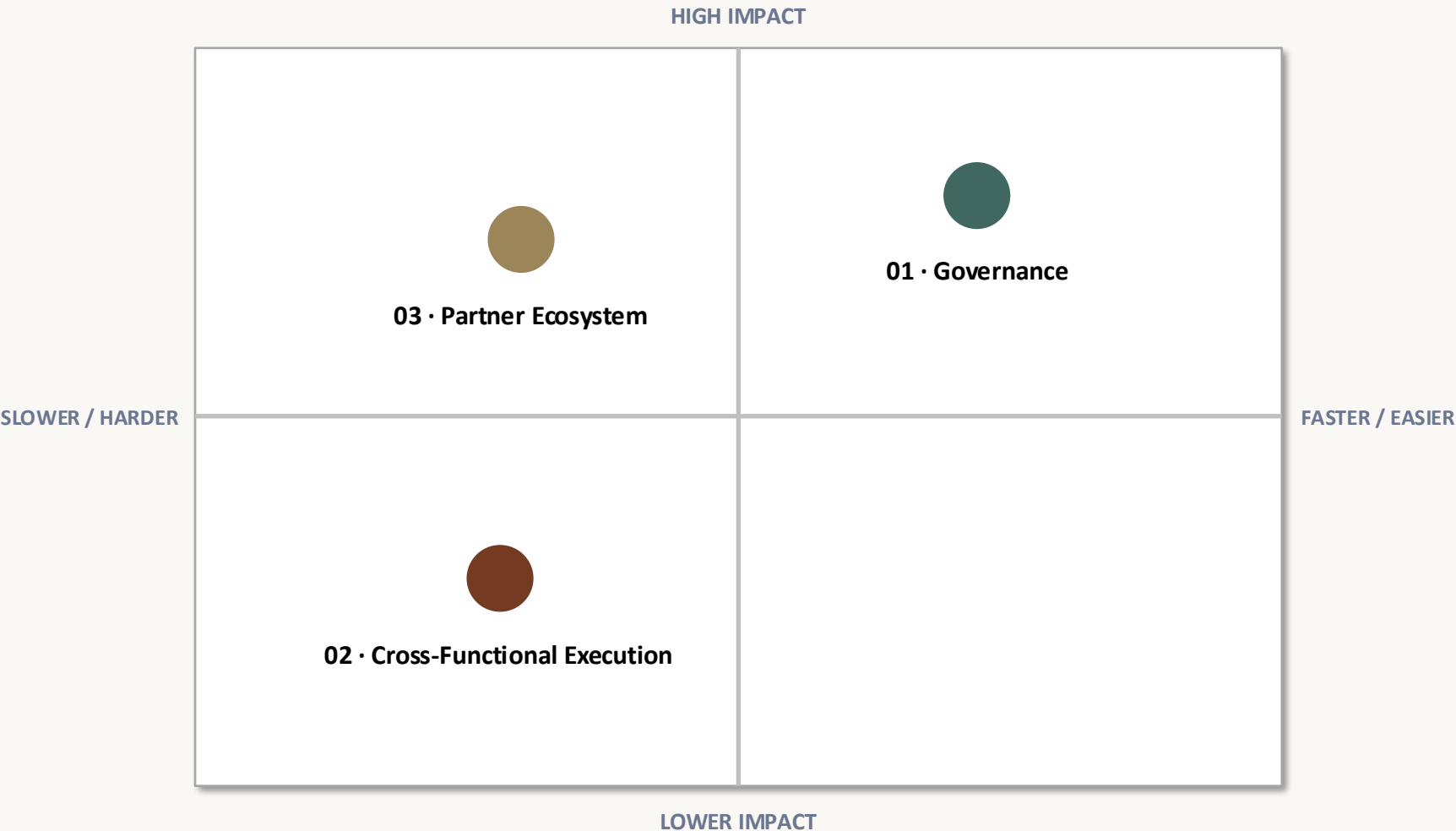
PARTNER ECOSYSTEM

Potential KPIs

- Partner SLA attainment
- Implementation cycle time
- Partner-delivered customer satisfaction
- Escalation and rework rate

Baseline during Assess; set targets after internal validation.

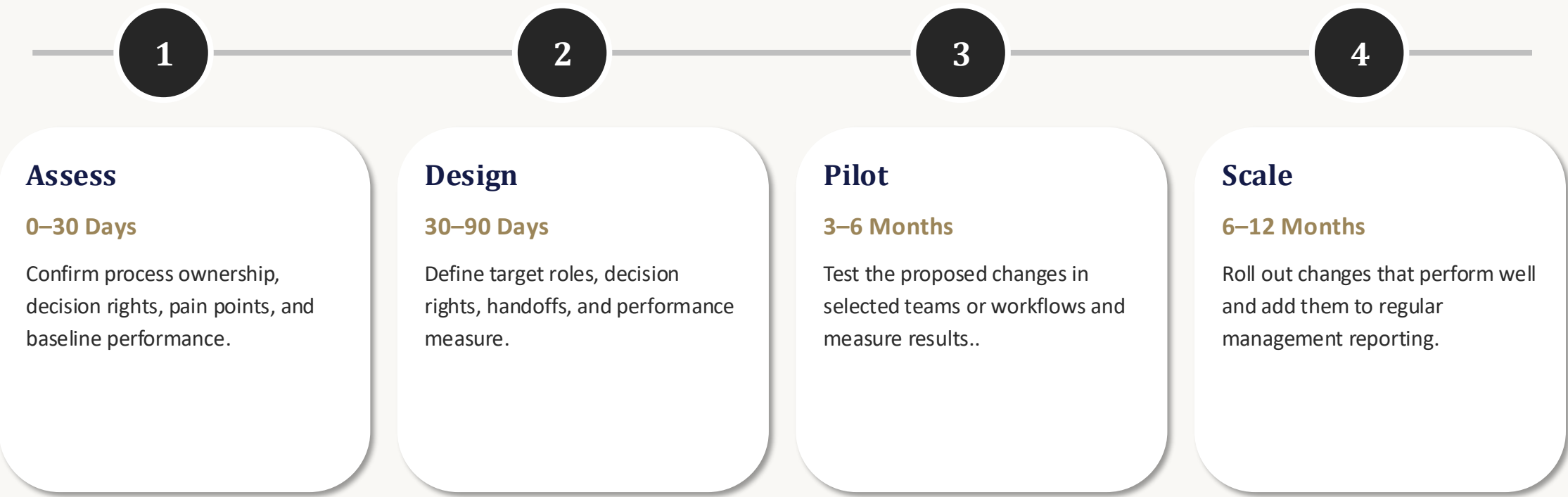
Sequence by impact and speed



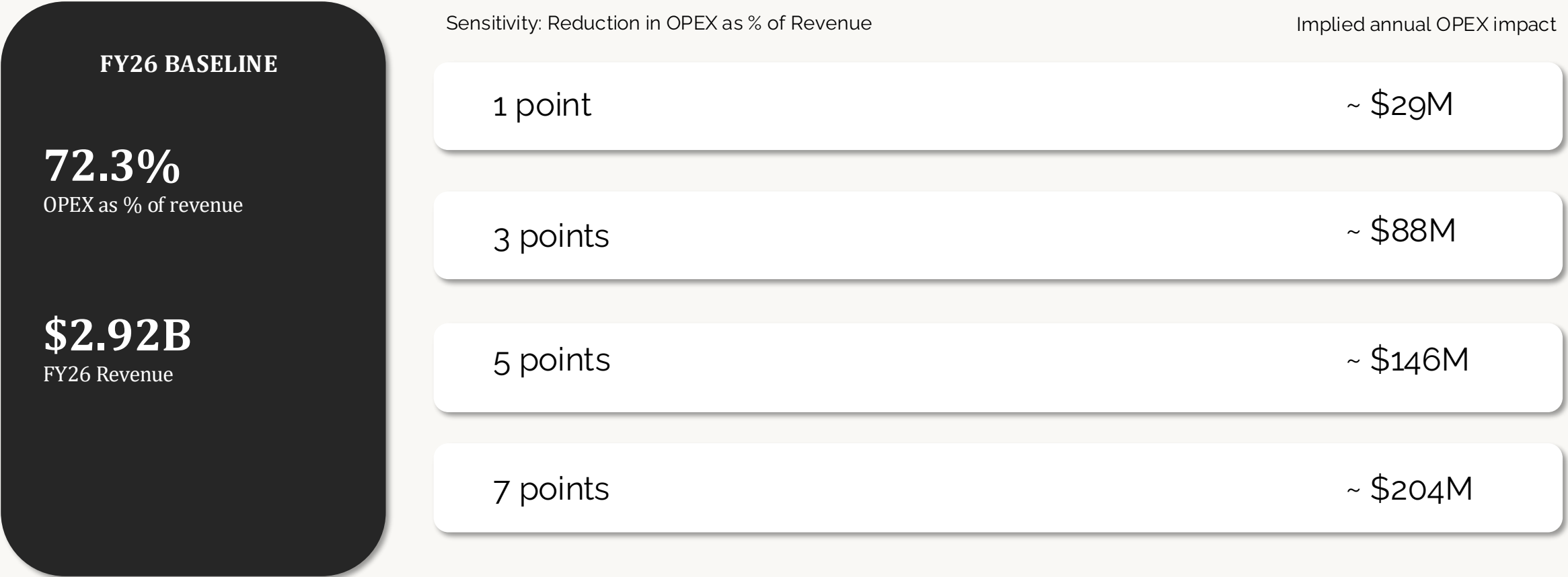
Sequencing logic

Starting with governance because ownership and escalation rules can be defined quickly and support other changes. Begin the partner-delivery work early because Okta expects more services to move to partners in FY2027. Cross-function process changes can then be built around clearer ownership. around.

Path from assessment to scale



Potential Value



Illustrative sensitivity analysis based on FY26 revenue. Shows the theoretical impact of reducing Opex as a percentage of revenue; does not estimate savings attributable to the proposed initiatives.

Data & Methodology

- This is an independent consulting case study developed using publicly available Okta financial and company information.
- Financial and operating data are sourced primarily from Okta's FY2026 Form 10-K (SEC EDGAR).
- Competitive benchmarking data is sourced from CrowdStrike Holdings' FY2026 earnings release (SEC Form 8-K).

Operating model recommendations, prioritization, and sensitivity estimates are illustrative. They do not represent Okta internal data, targets, or guidance

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Tools & Methods

Business Strategy · Operating Model Design · Financial Analysis · Competitive Benchmarking · Process Improvement · Transformation Strategy · Excel · Executive Communication